

Look at how the average person approaches purchasing a car. Just like with their homes, many people will buy the most expensive car they can afford. More accurately, they will buy a car for the maximum dollar amount someone will lend them. According to research conducted by *The New York Times*, only about 10 percent of people purchase cars with cash on average. Similar to houses, cars come with ongoing expenses including fuel, insurance, and maintenance. It's easy to see how you can save a substantial amount of money by being smarter with your car purchase, especially if you can pay cash. The biggest detriment to achieving FI when buying a car is that you are pouring money into an asset that loses value every day you own it and every mile you drive. Cars begin to depreciate the second you drive them off the lot. According to edmunds.com, a new car that costs approximately \$30,000 loses about \$2,500 of its value when you drive the first mile. It loses approximately \$6,000 or nearly 20 percent of its value in the first year of ownership.

Understanding how cars can destroy wealth helps turn the equation to less of a losing proposition. Get over the idea that a car is a status symbol and accept a vehicle for what it is—an object to transport you from point A to point B. Buying used instead of new eliminates the largest amount of depreciation, which lessens after a car is five